

In case your income does cross that threshold, you need to apply for a GSTN number. Also, if you had a service tax number earlier, GST is a must for you and will automatically replace that tax. GSTN is a unique tax identification number assigned to you. As a freelancer, your GST bracket is 18% which means that you charge an additional 18% GST on your base fees. So if your invoice amount comes to Rs. 10,000/-, you will add in Rs.1800/- (18%) as GST to the total. This is further equally divided into CGST and SGST which stands for Central GST and State GST respectively. So your invoice will read as Total Bill= Rs.10,000/- plus CGST= Rs.900/- (9%) plus SGST= Rs.900/- (9%) for total payable of Rs.11,800/-.



Death and taxes are the only two certainties of life

There are certain clients that will demand a GST bill from you even if you are below the Rs. 20 lakh mark. In such cases, you will need to apply for GST number and charge it to all of your clients. But the tax liability calculation does not end here.

If you have a GST number, you are also eligible for input credits. What are input credits? That is the GST amount you have paid for services used or goods purchased by you. You might have bought a laptop or an image or some equipment for your work and that purchase includes GST. This amount is deducted from the tax liability on your fees. So continuing from our previous example, your tax liability is Rs. 1800/-. Maybe you bought a laptop and the GST on that amounts to Rs. 1000/-. In this case, the Rs.1000/- will be deducted from Rs.1800/- and your final liability will be Rs.800/-. At times, it is also possible that you have paid more GST on your purchases